The Pollution Moat: Strategic Emissions under The Clean Air Act

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Abstract

Higher costs for entrants than incumbents under Clean Air Act nonattainment may induce incumbents to strategically increase pollution to deter entry for market-power motives. Consistent with this, following the 1997 PM2.5 standards, near-nonattainment-threshold firms increased emissions relative to those slightly farther away during the statutory pre-nonattainment monitoring window. The increase was stronger at PM2.5-intensive and near-monitor plants, in concentrated markets, and in high industry-growth-opportunities counties. Mechanisms include cross-plant emission reallocation within multi-plant firms and within-plant shifts in emission media toward air, with aggregate emissions unchanged. Following nonattainment, plant openings decline, and local emissions correlate positively with firm profits and valuations.

JEL Classification: Q58, Q52, L51, L13

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